FINTRUST BANK LIMITED

Retail Lending Group — Vehicle Finance

VEHICLE LOAN POLICY

Policy Document | Version 6.4

Approved by the Board of Directors on 14 April 2026

Effective from 01 May 2026

CLASSIFICATION: INTERNAL

Document Control

Field	Detail
Document title	Vehicle Loan Policy
Document reference	FTB/POL/RTL/VL/6.4
Version	6.4
Document owner	Head of Retail Lending (Vehicle Finance)
Reviewed by	Compliance, Risk, Operations, Legal
Recommended by	Risk Management Committee
Approved by	Board of Directors
Date of approval	14 April 2026
Effective date	01 May 2026
Next review due	31 March 2027
Review frequency	Annual, or earlier on regulatory change
Classification	Internal
Distribution	All branches and business units; empanelled dealers, valuers and agents
Supersedes	Version 6.3 dated 05 November 2024

Status of this document. This Policy is an internal document of FinTrust Bank Limited. It states the Bank's own standards and the manner in which its staff, dealers, panel professionals and agents are required to act. It is not a contract with any borrower, whose relationship with the Bank is governed by the sanction letter, the loan agreement and the Key Facts Statement. Where those documents are silent, or are less favourable to the borrower than this Policy, this Policy shall guide the Bank's conduct.

Monetary references. All amounts are expressed in Indian Rupees and are indicative for the purposes of this Policy. The rates, charges and thresholds applicable to a particular loan are those disclosed in the Key Facts Statement issued to that borrower, which prevails over the indicative figures reproduced in this document. A charge not disclosed in that Statement is not recoverable.

Interpretation. Words importing the singular include the plural. A reference to a Section is a reference to a Section of this Policy. A reference to a borrower includes every co-applicant where the context requires, and a reference to the vehicle is to the motor vehicle hypothecated or offered to be hypothecated. Headings are for convenience only and do not affect interpretation.

Contents

1. Purpose and Objectives

1.1 Purpose

This Vehicle Loan Policy ("the Policy") establishes the principles, standards and operating rules governing the origination, appraisal, sanction, documentation, security creation, disbursement, servicing, monitoring, repossession and closure of vehicle loans by FinTrust Bank Limited ("FinTrust" or "the Bank"). A vehicle loan is a term loan extended to an individual for the purchase of a motor vehicle for personal use, secured by hypothecation of that vehicle.

1.2 Position in the Lending Framework

The Personal Loan Policy governs unsecured lending. The Home Loan Policy governs lending secured by immovable property. This Policy governs lending secured by a movable asset, and the difference is consequential. A vehicle depreciates from the moment it is delivered, can be moved, concealed or disposed of by the borrower, and is secured by hypothecation rather than mortgage. The security therefore erodes over the tenure while the property securing a home loan ordinarily does not, and the Bank's remedies on default are exercised against an asset in the borrower's possession.

Where a provision of this Policy is expressed in the same terms as the corresponding provision of the Personal Loan Policy or the Home Loan Policy, the three shall be read and applied consistently. Staff shall not import a provision from one policy into another by analogy, and in particular shall not apply the enforcement process of the Home Loan Policy to a hypothecated vehicle, which is governed exclusively by Sections 18 and 19 of this Policy.

1.3 Objectives

- To ensure that a loan is sanctioned on the borrower's assessed capacity to repay, and that the tenure does not extend beyond the useful life of the vehicle.
- To ensure that the amount advanced bears a proper relationship to the realisable value of the vehicle, and that the erosion of that value over the tenure is anticipated at sanction rather than discovered on default.
- To ensure that the charge is registered with the registering authority promptly, so that the Bank's interest is recorded and the borrower cannot deal with the vehicle free of it.
- To ensure that the vehicle remains comprehensively insured throughout the tenure, for the borrower's protection as much as the Bank's.
- To ensure that repossession, where it becomes necessary, is conducted lawfully, peaceably, with notice, and with regard to the dignity and safety of the borrower and of any other person present.
- To ensure that a repossessed vehicle is sold at a fair price after notice, that the account is settled transparently, and that any surplus is returned promptly.
- To ensure that the hypothecation is released and the charge cancelled promptly on closure, and that failure to do so is compensated without the borrower having to claim it.

1.4 Guiding Principles

The tenure follows the asset. A loan shall not outlive the vehicle securing it.

Possession is not self-help. The Bank's contractual right to repossess is exercised through a defined process, with notice and an opportunity to redeem. It is not a licence to seize.

Technology is not a collection tool. A device fitted to a vehicle serves the purposes disclosed to the borrower when it was fitted, and no other.

Release is prompt and unconditional. The charge is cancelled when the debt is discharged, without the borrower having to ask.

2. Scope and Applicability

2.1 Scope

This Policy applies to all vehicle loans denominated in Indian Rupees sanctioned to individuals by any domestic branch or digital channel of FinTrust Bank Limited, secured by hypothecation of a motor vehicle registered in India, and to all variants listed in Section 5.

2.2 Persons Bound by the Policy

The Policy binds all employees of the Bank; all direct selling agents, dealers, business correspondents, lending service providers, valuers and collection and repossession agents engaged in relation to vehicle loans; and all third parties operating branded or co-branded FinTrust vehicle finance channels.

2.3 Exclusions

This Policy does not govern:

- Unsecured personal loans, which are governed by the Personal Loan Policy, including a personal loan whose stated purpose is the purchase of a vehicle where no hypothecation is created.
- Home loans and loans against immovable property.
- Loans for the purchase of commercial vehicles operated as a business asset, including goods carriers, passenger carriers and construction equipment, which are governed by the Commercial Vehicle Finance Policy. A vehicle purchased for personal use by an individual who happens to carry on a business is within this Policy.
- Fleet finance and dealer inventory funding, which are governed by the Channel Finance Policy. The empanelment of a dealer for the purpose of sourcing loans to individual purchasers is governed by Section 10 of this Policy.
- Loans for the purchase of a vehicle by an entity of any constitution.
- Staff vehicle loans, which are governed by the Staff Advances Policy.

2.4 Conflict and Precedence

In the event of conflict between this Policy and any statutory provision, regulatory direction or judicial order, the latter shall prevail and the Policy shall be deemed amended to that extent from the date the external requirement takes effect. In the event of conflict between this Policy and any internal circular, this Policy shall prevail unless the circular expressly records that it has been approved as an amendment under Section 22.

3. Definitions

Annual Percentage Rate (APR) means the all-inclusive annual cost of credit, expressed as a percentage, computed to include the rate of interest and every fee, charge and cost payable to the Bank or to a third party on the Bank's behalf, but excluding contingent charges.

Certificate of Registration means the document issued by the registering authority recording the registration of the vehicle and, where a charge subsists, the endorsement of hypothecation.

Ex-showroom Price means the manufacturer's price of the vehicle exclusive of registration charges, road tax, insurance premium and accessories.

Hypothecation means the charge created over the vehicle in favour of the Bank as security, the vehicle remaining in the possession of the borrower.

Insured Declared Value means the value of the vehicle agreed with the insurer for the purposes of a comprehensive motor insurance policy.

On-road Price means the ex-showroom price together with registration charges, road tax, the first year's insurance premium and any accessory financed as part of the transaction.

Registering Authority means the authority with which a motor vehicle is registered under the applicable motor vehicles law.

Repossession means the taking of possession of a hypothecated vehicle by the Bank under the loan agreement and in accordance with Section 18.

Residual Value means the value the vehicle is expected to retain at a stated point in the tenure, assessed at sanction under paragraph 9.5.

Used Vehicle means a vehicle that has previously been registered in the name of any person other than the applicant.

Vehicle Age means the period elapsed from the date of first registration of the vehicle.

4. Governance and Regulatory Framework

4.1 Regulatory Basis

Vehicle loans are extended by FinTrust under the licence granted to it as a banking company and are subject to directions issued from time to time by the banking regulator, including directions on the fair practices code for lenders, the display of the annual percentage rate and the Key Facts Statement, the treatment of penal charges, income recognition and asset classification, the engagement of recovery agents, the repossession of hypothecated assets, the release of movable and immovable property documents on repayment, and the reporting of credit information. The Bank is additionally bound by the applicable motor vehicles law in relation to the registration and release of the charge and the insurance of the vehicle.

4.2 Policy Ownership

The Vehicle Finance vertical within the Retail Lending Group is the owner of this Policy. The Head of Retail Lending is accountable for its accuracy, currency and internal consistency. The Chief Risk Officer is accountable for the credit standards in Section 8, the loan to value standards in Section 9 and the classification standards in Section 17.

4.3 Approval Authority

This Policy is approved by the Board of Directors on the recommendation of the Risk Management Committee. Board approval is required for adoption of the Policy, for any amendment to Sections 1, 8, 9, 16, 17, 18, 19 and 22, and for the introduction or withdrawal of a variant. The Asset and Liability Committee approves the rate methodology. The Product and Pricing Committee may approve rates within that methodology, the charges in Section 11 and the dealer arrangements in Section 10.

4.4 Three Lines of Defence

Line	Function	Primary responsibility
First	Branches, vehicle finance sales, credit underwriting, loan operations, collections	Correct application of the Policy; appraisal quality; charge registration; conduct in collection and repossession
Second	Credit Risk, Compliance, Operations Risk, Legal	Credit and LTV standards, dealer and agent governance, classification integrity, thematic testing, exception governance
Third	Internal Audit	Independent assurance, including credit audit, charge registration verification and repossession file review

4.5 Exceptions

Any departure from a provision of this Policy constitutes an exception and requires prior written approval from the authority specified in Section 22. Exceptions shall be recorded in the Exception Register maintained by Compliance, shall specify a validity period not exceeding twelve months, and shall be reported in aggregate to the Risk Management Committee each quarter. No exception may be granted to Section 16, Section 17, Section 18, Section 19, paragraph 11.6 or paragraph 20.4.

5. Variants and Eligible Vehicles

5.1 Product Catalogue

Code	Variant	Vehicle	Maximum tenure
VL-NEW	FinTrust New Car Loan	New passenger car or utility vehicle	84 months
VL-USD	FinTrust Used Car Loan	Previously registered passenger car or utility vehicle	60 months
VL-TWO	FinTrust Two Wheeler Loan	New motorcycle or scooter	48 months
VL-ELE	FinTrust Electric Vehicle Loan	New electric passenger car or two wheeler	84 months
VL-BAL	FinTrust Vehicle Balance Transfer	Takeover of a vehicle loan from another lender	Residual life of the vehicle, subject to paragraph 5.4

5.2 Eligible Vehicles

A vehicle is eligible where it is a motor vehicle intended for personal use, is capable of being registered in the applicant's name with the registering authority, and is of a make and model on the Bank's approved list. The approved list shall be maintained by the Vehicle Finance vertical, reviewed at least half-yearly, and shall record for each model the depreciation profile adopted for the purposes of paragraph 9.5.

5.3 Ineligible Vehicles

A loan shall not be sanctioned against a vehicle that is to be registered as a transport vehicle; that is imported and not homologated for use in India; that has been declared a total loss by an insurer at any time; that carries a registration recorded as suspended or cancelled; whose chassis or engine number cannot be verified against the manufacturer's or registering authority's record; or that is more than eight years old at the date of sanction.

5.4 Vehicle Age and Tenure

The tenure shall be such that the aggregate of the vehicle age at sanction and the tenure does not exceed the following.

Vehicle category	Maximum of vehicle age plus tenure
New passenger car or utility vehicle	7 years
Electric passenger car	7 years
Used passenger car or utility vehicle	10 years
Two wheeler, including electric	5 years

Where a balance transfer is sought, the residual tenure offered shall be computed on the same basis and shall not exceed the residual tenure that would have been available had the loan originated with the Bank.

5.5 Electric Vehicles

Loans for electric vehicles carry the concessional rate published for the variant. Where the battery is sold separately from the vehicle, or is held under a subscription or leasing arrangement, the loan shall be sanctioned only against the vehicle, the arrangement in respect of the battery shall be disclosed by the applicant, and the valuation under Section 9 shall be of the vehicle without the battery. The Bank shall record the terms of the battery arrangement on the loan file, since they affect the realisable value of the security.

5.6 Accessories

Accessories fitted at the time of purchase may be financed as part of the on-road price to the extent of five per cent of the ex-showroom price. Accessories beyond that limit shall not be financed. An accessory that is not permanently fitted to the vehicle shall not be financed in any circumstance.

6. Eligibility of Borrowers

6.1 Eligible Borrowers

An applicant is eligible where the applicant is an individual aged twenty-one years or above at application and not more than sixty-five years at the scheduled maturity of the loan; is resident in India, or holds a category of residency the Bank accepts; holds a valid driving licence of the class appropriate to the vehicle, or nominates a co-applicant who does; has a verifiable and regular source of income; meets the credit standards in Section 8; and has completed customer due diligence to the standard applicable under the Savings Account Policy.

6.2 Ineligible Applicants

A loan shall not be sanctioned to an applicant who is classified as a wilful defaulter; who is associated as a proprietor, partner or director with an account classified as fraud or wilful default; who appears on a designated sanctions list; who declines to furnish the information or documentation required under Section 7; or in respect of whom the Bank holds a record of a settlement or write-off, unless sanction is approved by the Head of Retail Lending with reasons recorded.

6.3 Registration in the Borrower's Name

The vehicle shall be registered in the name of the applicant, or jointly in the names of the applicant and a co-applicant. A loan shall not be disbursed where the vehicle is to be registered in the name of a person who is not a party to the loan. Where the registration is to be joint, every registered owner shall be a co-applicant.

6.4 Co-applicants and Guarantors

A co-applicant is jointly and severally liable for the whole of the amount due and shall be appraised, verified and reported on as a borrower. The income of a co-applicant may be aggregated for the purpose of paragraph 8.4 only where the co-applicant is a spouse, parent or child of the applicant. A guarantee shall be sought only where the appraisal requires it, the reason shall be recorded, and the guarantor shall be furnished with the particulars of the facility and a statement of the liability assumed before executing it.

6.5 Number of Loans

An individual may hold not more than two vehicle loans with the Bank at any time. A third requires the approval of the Regional Credit Head and shall be assessed against the applicant's aggregate obligations across all lenders.

6.6 Non-Discrimination

The Bank shall not decline an application, or vary its terms, by reference to any characteristic unrelated to creditworthiness or to the enforceability of the security. Where an application is declined, the principal reason shall be recorded and communicated.

7. Application, Documentation and Verification

7.1 Channels

An application may be made at a branch, through the Bank's digital channel, at a dealer's premises through an empanelled dealer under Section 10, or through a lending service provider. The standard of appraisal and documentation is identical across channels. The provisions of the Personal Loan Policy relating to lending service providers, the disclosure of their identity, the flow of funds and the data a digital application may collect apply equally to vehicle loans.

7.2 Documentation

The applicant shall furnish the documents listed in Annexure A, comprising borrower documents appropriate to the employment category and vehicle documents appropriate to the transaction type.

7.3 Verification of Income

Income shall be verified from independent sources and not from the applicant's declaration alone. Acceptable sources are salary credits observed in a bank statement, salary slips corroborated by bank statements, income tax returns with computation, audited financial statements, and pension payment records. Where sources conflict, the lower figure shall be adopted and the reason recorded.

7.4 Verification of Employment and Residence

Employment shall be verified independently of documents furnished by the applicant. Residence shall be verified from the officially valid document. A field visit shall be conducted where the sanctioned amount exceeds Rs. 15,00,000, where the applicant is self-employed, where the vehicle is a used vehicle, or where the application is flagged by the appraisal system.

7.5 Verification of the Vehicle

Before disbursement the Bank shall verify, from the manufacturer's or dealer's records for a new vehicle and from the registering authority's record for a used vehicle, the chassis number, the engine number, the make, model and variant, the date of first registration where applicable, and the existence of any subsisting charge. A loan shall not be disbursed where a charge in favour of another lender subsists and has not been released or is not being released concurrently against the disbursement.

7.6 Credit Information Reports

The Bank shall obtain a credit information report on the applicant and on every co-applicant and guarantor, from at least two credit information companies, with consent recorded.

7.7 Acknowledgement, Turnaround and Declines

Every application shall be acknowledged with a reference number at submission, and a decision communicated within the turnaround time in Annexure C. Where an application is declined, the decision shall be communicated in writing within seven days stating the principal reason and the grievance channel. Where a processing fee has been collected and the application is declined, it shall be refunded within seven business days, save for the actual cost of any valuation already incurred, which shall be itemised.

8. Credit Appraisal and Repayment Capacity

8.1 Basis of Appraisal

Every loan shall be appraised on the borrower's assessed capacity to repay from regular income over the tenure. The existence of security does not reduce the standard of appraisal. A vehicle depreciates and its realisable value will for much of the tenure be less than the amount outstanding; the loan shall therefore not be sanctioned in reliance on the security.

8.2 Assessed Net Monthly Income

Assessed net monthly income is the borrower's regular income net of statutory deductions, averaged over the preceding six months for salaried applicants and the preceding two completed financial years for others. Non-recurring income shall be excluded or discounted, and the treatment recorded.

8.3 Existing Obligations

Existing obligations comprise every instalment payable on any credit facility from any lender, as disclosed and as reflected in the credit information reports, together with the minimum amount due on every credit card held. Where the disclosure differs from the reports, the higher figure shall be adopted unless the difference is explained and recorded.

8.4 Debt Burden Ratio

Assessed net monthly income	Maximum debt burden ratio
Up to Rs. 30,000	45%
Above Rs. 30,000 and up to Rs. 1,00,000	55%
Above Rs. 1,00,000 and up to Rs. 3,00,000	60%
Above Rs. 3,00,000	65%

The ratio shall include the instalment on the proposed loan. These are ceilings and not entitlements. No exception to these ceilings may be granted.

8.5 Cost of Running the Vehicle

The appraisal shall have regard to the recurring cost of running and insuring the vehicle, which the borrower must meet in addition to the instalment. Where the assessed net monthly income is below Rs. 50,000 and the on-road price exceeds twelve times that income, the sanctioning authority shall record specifically why the obligation is considered sustainable.

8.6 Credit Score and Conduct

The credit information report shall be examined for the score, the conduct of existing facilities, the number of recent enquiries, and any account classified as written off, settled, restructured, suit-filed or in wilful default. A loan shall not be sanctioned solely because the score exceeds a threshold; the underlying conduct shall be examined and the assessment recorded.

8.7 Delegated Sanctioning Authority

Loan amount	Sanctioning authority
Up to Rs. 10,00,000	Credit Manager, Vehicle Finance
Above Rs. 10,00,000 and up to Rs. 30,00,000	Senior Credit Manager
Above Rs. 30,00,000 and up to Rs. 75,00,000	Regional Credit Head
Above Rs. 75,00,000	Head of Vehicle Finance Credit
Any used vehicle above Rs. 15,00,000	One level above the ordinary authority
Any amount where the debt burden ratio is within 5 percentage points of the ceiling	One level above the ordinary authority
Any amount to an applicant within paragraph 6.2	Head of Retail Lending

The officer who conducts the appraisal shall not be the officer who sanctions the loan.

8.8 Automated Decisioning

Where an automated model contributes to the decision, it shall be documented, independently validated before deployment and revalidated at least annually, and shall not use any input that is a proxy for a characteristic on which discrimination is prohibited under paragraph 6.6. Every automated decline shall be explainable in terms of the principal factors that produced it, and the applicant shall be given that explanation on request. An automated approval remains subject to the ceilings in paragraphs 8.4 and 9.2.

9. Valuation and Loan to Value

9.1 Basis of Value

For a new vehicle, the value is the on-road price evidenced by the dealer's proforma invoice. For a used vehicle, the value is the lower of the transaction consideration and the valuation obtained under paragraph 9.4.

9.2 Loan to Value Ceilings

Vehicle	Maximum loan to value
New passenger car or utility vehicle	85% of on-road price, or 100% of ex-showroom price, whichever is lower
New electric passenger car	90% of on-road price, or 100% of ex-showroom price, whichever is lower
New two wheeler	85% of on-road price
Used passenger car or utility vehicle, up to 3 years old	75% of assessed value
Used passenger car or utility vehicle, more than 3 years old	65% of assessed value

These ceilings may not be exceeded, and no exception may be granted. Registration charges, road tax and the first year's insurance premium may be financed only within the on-road price ceiling.

9.3 Margin

The borrower's contribution shall be brought in before or concurrently with disbursement and shall be evidenced by the dealer's receipt or by bank statements. The Bank shall not disburse ahead of the borrower's contribution in a manner that would cause the loan to value ratio to exceed the ceiling at any point.

The source of the contribution shall be examined. A contribution funded by borrowing from any lender shall not be reckoned as the borrower's own, and the corresponding instalment shall be included in existing obligations under paragraph 8.3.

9.4 Valuation of Used Vehicles

A used vehicle shall be valued by a valuer on the Bank's panel, who shall physically inspect the vehicle, verify the chassis and engine numbers against the certificate of registration, record the odometer reading, assess the condition of the body, engine, transmission and tyres, note any accidental repair, and state the basis of the valuation and the comparables relied upon. The valuation shall not be relied upon where it is more than thirty days old at the date of sanction.

Panel valuers shall be empanelled centrally, allocated to cases on a rotational basis by the central allocation system, and shall certify in every report that they have no interest in the transaction and no connection with the seller or the dealer. No officer with a business target shall select the valuer for a particular case.

9.5 Residual Value and Security Cover

At sanction the appraisal shall record the expected residual value of the vehicle at the twelfth, twenty-fourth, thirty-sixth and forty-eighth month, computed on the depreciation profile recorded for the model in the approved list, and shall compare it with the expected outstanding balance at those points.

Where the expected outstanding would exceed the expected residual value at any point in the tenure, the sanctioning authority shall record why the loan is nonetheless considered appropriate, and shall consider requiring a higher contribution or a shorter tenure. A negative security cover is not by itself a ground for declining a loan that is otherwise sound on repayment capacity, but it shall be identified at sanction and not discovered on default. An illustration comparing two combinations of loan to value and tenure is set out in Annexure B.

9.6 Revaluation

The Bank shall not require a revaluation during the tenure of a regular account, shall not demand additional security by reason of depreciation alone, and shall not recall a performing loan on that ground. A revaluation shall be obtained before a repossessed vehicle is sold, under paragraph 19.2.

10. Dealer and Manufacturer Arrangements

10.1 Empanelment

A dealer shall be empanelled before loans are sourced through it. Empanelment requires verification of the dealer's authorisation from the manufacturer, its legal constitution, its financial standing, its conduct record and the absence of any disqualification. Empanelment shall be reviewed annually and on any adverse development.

10.2 The Dealer Is Not the Lender

A dealer sourcing an application acts as the Bank's referral agent and not as a lender or an intermediary holding funds. A dealer shall not collect any amount from an applicant on the Bank's behalf, shall not represent that a sanction has been granted, shall not quote a rate, charge or eligibility figure other than those published by the Bank, and shall not complete or sign any document on the applicant's behalf.

10.3 Disclosure of Arrangements

Where the Bank pays a commission to a dealer, or receives a subvention from a manufacturer or dealer that reduces the rate offered to the borrower, the existence of the arrangement shall be disclosed to the borrower in the Key Facts Statement. Where a subvented rate is offered, the Key Facts Statement shall state the period for which the subvention applies and the rate that will apply after it ends.

10.4 No Bundling

A dealer shall not condition the sale of a vehicle on the purchase of finance from the Bank, and the Bank shall not enter into an arrangement that has that effect. The Bank shall not require, and shall not permit a dealer to require, that insurance, an extended warranty, an accessory package or a service plan be purchased as a condition of the loan.

10.5 Disbursement to the Dealer

Disbursement in respect of a new vehicle shall be made directly to the empanelled dealer's account recorded in the empanelment file, against a proforma invoice bearing the chassis number. Disbursement shall not be made to any other account, shall not be made in cash, and shall not be routed through any intermediary.

10.6 Delivery and Recovery on Non-Delivery

Where a vehicle is not delivered to the borrower within thirty days of disbursement, the Bank shall recover the amount from the dealer, shall not levy any interest or charge on the borrower for that period, and shall reverse any interest already charged. The Bank shall not require the borrower to pursue the dealer.

10.7 Termination

Empanelment shall be terminated where a dealer breaches paragraph 10.2, 10.4 or 10.5, misrepresents any term of the Bank's product, or is found to have submitted a false or altered document. Termination does not affect loans already sanctioned, which shall be serviced in the ordinary way.

11. Pricing, Charges and the Key Facts Statement

11.1 Rate of Interest

Interest is charged on a monthly reducing balance. The rate is determined within the methodology approved by the Asset and Liability Committee, by reference to the assessed credit risk, the vehicle category, the loan to value ratio, the tenure and the employment category.

Variant	Indicative rate range per annum
New Car Loan	8.75% to 12.50%
Electric Vehicle Loan	8.50% to 12.00%
Used Car Loan	12.00% to 16.50%
Two Wheeler Loan	11.50% to 18.00%
Vehicle Balance Transfer	8.75% to 13.00%

11.2 Fixed and Floating Rates

A vehicle loan may be sanctioned on a fixed or a floating rate at the borrower's election, recorded before sanction. Where the loan is on a floating rate linked to an external benchmark, the reset provisions and the borrower's options on an increase shall be the same as those in the Home Loan Policy, and the borrower shall be informed of the revised rate, the effect on instalment and tenure, and the options available, within five business days of each reset.

11.3 Charges

Charge	Amount
Processing fee, new vehicle	Up to 0.50% of the sanctioned amount, maximum Rs. 6,000
Processing fee, used vehicle	Up to 1.50% of the sanctioned amount, maximum Rs. 12,000
Valuation of a used vehicle, at actuals	Rs. 1,500 to Rs. 3,000
Documentation charge	Rs. 500
Charge registration with the registering authority, at actuals	As prescribed
Instalment dishonour charge	Rs. 500 per instance
Duplicate statement, interest certificate	Nil
Amortisation schedule, any number of times	Nil
Foreclosure statement	Nil
No-objection certificate on closure	Nil
Release of hypothecation and endorsement	Nil
Repossession, storage and sale costs	At actuals, itemised under paragraph 19.4

11.4 Charges Not to Be Levied

No charge shall be levied for prepayment or foreclosure of a floating rate loan; for the release of hypothecation on closure; for the correction of an error attributable to the Bank; for the making of a complaint; or for any service the borrower has not requested. No charge shall be levied that does not appear in the Key Facts Statement issued to that borrower.

11.5 Key Facts Statement

Before the borrower is asked to accept a sanction, the Bank shall furnish a Key Facts Statement in the prescribed format, in a language the borrower understands, setting out the sanctioned amount, the tenure and number of instalments, the rate of interest and whether fixed or floating, the annual percentage rate computed to include every fee and charge, the instalment amount and first instalment date, the total amount repayable, every contingent charge including repossession and storage costs, the existence of any dealer commission or manufacturer subvention and the rate applying after a subvention ends, the details of any lending service provider, and the grievance escalation matrix. The Statement shall be held open for not less than three working days.

An illustration is set out in Annexure B, and an equivalent illustration specific to the borrower's own loan shall accompany the Key Facts Statement.

11.6 Charges Not Disclosed

A charge not disclosed in the Key Facts Statement issued to a borrower shall not be recovered from that borrower at any time during the currency of the loan. This paragraph admits of no exception.

11.7 Penal Charges

A charge levied on default is a penal charge and not a penal rate of interest. It shall not be added to the rate of interest, shall not be capitalised and shall not itself attract interest. Penal charges shall be levied at 2% per annum on the overdue amount alone, subject to a maximum of Rs. 750 per instalment per month, shall be disclosed in the agreement and the Key Facts Statement, and shall be notified to the borrower within three business days of being levied. A penal charge shall be waived where the default arose from an error of the Bank, a failure of the payment system, or a delay in the credit of salary or pension for a reason not attributable to the borrower.

12. Sanction, Agreement and Security

12.1 Sanction Letter

On sanction the Bank shall issue a sanction letter stating the amount, tenure, rate, instalment, charges, conditions precedent, the security to be created, and the validity of the sanction. Acceptance shall be obtained in writing or through an authenticated electronic channel and a copy of the accepted letter given to the borrower.

12.2 Loan Agreement

The loan agreement shall be executed before disbursement. A copy of the executed agreement, together with a copy of every document the borrower signed and every enclosure referred to in it, shall be furnished to the borrower free of charge at execution, and acknowledgement obtained. The agreement shall set out in plain terms the circumstances in which the Bank may repossess the vehicle, the notice that will be given, and the borrower's right to redeem.

12.3 Hypothecation

The vehicle shall be hypothecated to the Bank by the loan agreement, and the hypothecation shall be endorsed on the certificate of registration by the registering authority. The Bank shall file the prescribed form with the registering authority within seven business days of disbursement, and shall track the endorsement to completion.

12.4 Where Endorsement Is Not Completed

Where the endorsement is not recorded within sixty days of disbursement, the case shall be referred to Operations Risk, the cause established, and the matter pursued with the registering authority or the dealer as the case requires. The borrower shall not be charged for any cost of pursuing an endorsement that failed for a reason not attributable to the borrower, and shall not be treated as in default by reason of the failure.

12.5 Registration with the Central Registry

The security interest shall be registered with the central registry for security interests in movable property within the period prescribed, and the particulars placed on the loan file. Satisfaction shall be recorded within thirty days of closure.

12.6 Custody of Documents

The certificate of registration bearing the hypothecation endorsement remains with the borrower, since the borrower requires it to use the vehicle lawfully. The Bank shall not retain the certificate of registration, the insurance policy or the driving licence as security. Documents furnished by the borrower and retained by the Bank shall be held under the custody standards applicable to loan files and returned under Section 20.

12.7 Restrictions During the Tenure

The borrower shall not sell, transfer, further encumber, permanently modify or export the vehicle without the Bank's prior written consent, and shall not use it as a transport vehicle. The Bank shall not unreasonably withhold consent to a sale where the loan is to be repaid out of the proceeds, and shall furnish the foreclosure statement and the release documents to enable it.

13. Disbursement and Registration

13.1 Conditions Precedent

Disbursement shall be made only after every condition precedent has been satisfied and verified, the agreement executed, the vehicle verified under paragraph 7.5, the borrower's margin brought in, the repayment mandate registered, the insurance arranged under Section 14, and the Key Facts Statement acknowledged.

13.2 New Vehicles

Disbursement shall be made to the empanelled dealer under paragraph 10.5 against a proforma invoice bearing the chassis number. The Bank shall obtain the tax invoice, the delivery note and the certificate of registration particulars within thirty days of disbursement.

13.3 Used Vehicles

Disbursement shall be made directly to the recorded bank account of the registered owner of the vehicle, against the valuation, the certificate of registration and evidence that any subsisting charge has been or is being released. Where a subsisting charge is being released concurrently, disbursement shall be made first to the existing lender to the extent of its dues and the balance to the seller. Disbursement shall not be made in cash and shall not be made to a broker, agent or intermediary.

13.4 Net Disbursal

Where any charge is deducted from the sanctioned amount, the deduction shall be itemised in the disbursement advice and the net amount stated. Interest shall be charged only on the amount actually disbursed and from the date of actual disbursement.

13.5 Transfer of Registration for a Used Vehicle

The Bank shall satisfy itself that the transfer of registration into the borrower's name has been applied for within seven days of disbursement and completed within sixty days. Where it is not completed within sixty days for a reason attributable to the seller, the Bank shall assist the borrower, shall not levy any charge, and shall not treat the delay as a default.

13.6 Amortisation Schedule

An amortisation schedule shall be furnished at disbursement and shall be available at any time thereafter free of charge. A revised schedule shall be issued within five business days of any event that changes it.

13.7 Cancellation Before Disbursement

A borrower may cancel a sanction at any time before disbursement without charge. A processing fee collected shall be refunded within seven business days, save for the actual cost of any valuation incurred, which shall be itemised.

14. Insurance of the Vehicle

14.1 Requirement

The vehicle shall be comprehensively insured for not less than its insured declared value, for the currency of the loan, with the Bank recorded as hypothecatee. The borrower shall furnish evidence of the policy at disbursement and on each renewal.

14.2 Freedom of Choice

The borrower may arrange the insurance from any insurer of the borrower's choosing. The Bank shall not require that it be arranged through the Bank, through a dealer, or through any insurer with which the Bank or the dealer has an arrangement, and shall not make the sanction, the rate or the disbursement conditional on the choice of insurer.

14.3 Lapse of Insurance

Where the borrower fails to maintain insurance, the Bank shall give thirty days' notice and an opportunity to produce evidence of a subsisting policy, and may thereafter effect insurance and recover the actual premium from the borrower. The Bank shall not effect insurance without that notice and shall not add any margin to the premium recovered.

14.4 Claims

Where a claim is made, the Bank shall furnish any consent or document required of it as hypothecatee within three business days of request. Where the claim is for a repairable loss, the settlement shall be released to the repairer or the borrower and shall not be appropriated against the loan. Where the vehicle is a total loss, the settlement shall be appropriated against the outstanding balance, any surplus paid to the borrower within seven business days, and the account closed or the shortfall dealt with under paragraph 14.5.

14.5 Shortfall on Total Loss

Where the insurance settlement on a total loss is less than the outstanding balance, the shortfall remains payable by the borrower. The Bank shall inform the borrower of the computation, shall not levy any penal charge on the shortfall for a period of sixty days from the settlement, and shall offer a repayment arrangement over a period of not less than twelve months before commencing recovery action.

15. Repayment, Prepayment and Foreclosure

15.1 Instalments and Mandate

The loan is repayable in equated monthly instalments on the date stated in the agreement, collected by direct debit under a mandate registered by the borrower. The borrower may elect the instalment date from the options offered and may change it once during the tenure without charge. Amounts received shall be appropriated in the order stated in the agreement and reproduced in the Key Facts Statement, being costs, penal charges, other charges, overdue interest, overdue principal, current interest and current principal.

15.2 Dishonour

Where an instalment is dishonoured, the mandate shall be represented once, and the borrower informed on the day of dishonour with the reason and the charge. The mandate shall not be presented more than twice in a month.

15.3 Right to Prepay

A borrower may prepay in whole or in part at any time. The Bank shall not require a minimum period to have elapsed, a minimum number of instalments to have been paid, or a reason to be stated.

15.4 Charges on Prepayment

Rate type	Foreclosure or part-payment charge
Floating rate, individual borrower	Nil
Fixed rate, within 12 months of disbursement	Up to 4% of the amount prepaid
Fixed rate, after 12 months and up to 24 months	Up to 3% of the amount prepaid
Fixed rate, after 24 months	Up to 2% of the amount prepaid
Any rate type, where the loan is repaid from the proceeds of an insurance total loss settlement	Nil
Any rate type, on a reset increasing the rate	Nil

15.5 Foreclosure Statement

A foreclosure statement showing the outstanding principal, accrued interest to the proposed date of closure, any charge leviable and the total payable shall be furnished within two business days of a request, free of charge and without limit on the number of requests.

15.6 Effect of Part-Payment

On a part-payment the borrower shall be given the option of reducing the instalment or reducing the tenure, and shall be told the effect of each in figures before electing. Where the borrower does not elect, the tenure shall be reduced, save where reducing the tenure would leave the outstanding above the residual value at any point, in which case the Bank shall explain the position and invite a fresh election.

15.7 Sale of the Vehicle by the Borrower

Where the borrower proposes to sell the vehicle, the Bank shall furnish the foreclosure statement within two business days, shall issue the no-objection certificate and the release documents within three business days of receipt of the amount payable, and shall not impose any condition not in the loan agreement.

16. Telematics, Tracking and Immobilisation

16.1 Prohibition on Remote Immobilisation

The Bank shall not fit, require the fitting of, or make use of any device capable of immobilising a vehicle remotely, and shall not disable or degrade the operation of a financed vehicle by any means, whether as a means of securing payment, as a consequence of default, or for any other purpose. This paragraph admits of no exception, and no officer at any level may authorise a departure from it.

16.2 Tracking Devices

A location tracking device shall be fitted to a financed vehicle only where the borrower has consented in a separate written or authenticated electronic consent, obtained after disclosure of the device, what it records, who may access the record, for what purposes, and for how long the data is retained. Consent shall not be a condition of sanction, and a refusal shall not affect the rate, the amount or the tenure.

16.3 Permitted Use of Tracking Data

Where a device is fitted with consent, the data may be used only to locate the vehicle for the purpose of repossession after the notice under paragraph 18.3 has expired, or to assist the borrower or the authorities in recovering a vehicle reported stolen. It shall not be used to monitor the borrower's movements, to profile the borrower, to assess the borrower for any product, or for marketing. Access shall be restricted to named officers, and every access shall be logged with the reason.

16.4 Withdrawal of Consent and Deletion

The borrower may withdraw consent at any time, and the Bank shall deactivate the device within seven business days and delete the data held, save data required to be retained in connection with a subsisting investigation or proceeding. On closure of the loan, the device shall be deactivated and removed at the Bank's cost if the borrower so requests, and all data deleted within thirty days.

16.5 Devices Fitted by Others

Where a dealer or any other party proposes to fit such a device, the Bank shall not treat that as satisfying any requirement of its own, shall not receive data from it, and shall inform the borrower that any such arrangement is between the borrower and that party.

17. Monitoring, Delinquency and Classification

17.1 Portfolio Monitoring

The Vehicle Finance vertical shall monitor the portfolio monthly by vintage, variant, dealer, sourcing channel, loan to value band, debt burden ratio band, vehicle category and credit score band, and shall report to the Risk Management Committee quarterly on delinquency trends, early warning indicators, dealer-wise performance and repossession volumes.

17.2 Early Warning

The following shall be treated as early warning indicators: a dishonoured instalment; a decline in salary credits observed in a linked account; a new enquiry pattern indicating credit-seeking behaviour; classification of another facility of the borrower as overdue; lapse of the vehicle insurance; failure to complete the hypothecation endorsement under paragraph 12.4; failure to complete transfer of registration under paragraph 13.5; and any information that the vehicle has been sold, further encumbered or used as a transport vehicle.

17.3 Special Mention Account Classification

Classification	Condition
SMA-0	Principal or interest overdue between 1 and 30 days
SMA-1	Principal or interest overdue between 31 and 60 days
SMA-2	Principal or interest overdue between 61 and 90 days

Days past due are counted from the date on which the amount fell due. Classification is at the level of the borrower's account, is updated at the end of each day, and shall not be deferred, reversed or suppressed for any commercial reason.

17.4 Non-Performing Asset Classification

A loan shall be classified as a non-performing asset where any amount of interest or principal remains overdue for more than ninety days. Classification shall be made by the system on the basis of the record of recovery, without discretion. Upgrade to standard shall be made only when the entire arrears of interest and principal have been paid, and not on part payment. Repossession of the vehicle does not by itself effect an upgrade, and a repossessed account remains classified according to its record of recovery until the sale proceeds are appropriated under Section 19.

17.5 Prohibition on Evergreening

A loan shall not be sanctioned, restructured or extended for the purpose of enabling the repayment of an existing loan of the same borrower so as to avoid or defer classification. Any proposal that would have that effect shall be referred to Credit Risk, and any instance detected reported to the Audit Committee.

17.6 Notice of Default

On an amount becoming overdue the Bank shall inform the borrower within three business days, stating the amount, the date it fell due, the penal charge applicable, the consequence for classification and credit reporting, and the channels available to discuss the position. Further notices shall be issued at 30, 60 and 85 days past due, the last of which shall state expressly that classification as a non-performing asset will follow at 90 days.

17.7 Restructuring

A borrower whose circumstances have changed such that the existing terms are no longer sustainable shall be considered for restructuring before repossession is pursued. A request may be made at any time, shall be acknowledged within two business days and decided within fifteen business days of complete information. Restructuring may take the form of an extension of tenure within the limits in paragraph 5.4, a reduction of instalment with a corresponding extension, a moratorium on principal not exceeding six months, a revised instalment date, or a combination. Before it is given effect the borrower shall be told in writing that it will be reported under paragraph 21.1 with the applicable indicator and what that means. No fresh processing fee shall be charged on a restructuring.

18. Repossession

18.1 Overriding Provision

This Section admits of no exception. No officer of the Bank, at any level, may authorise a departure from it, and no circumstance of exposure, delay or borrower conduct justifies one. A breach by an employee is a disciplinary matter and by an agent is a ground for immediate termination of the engagement and removal from the panel.

18.2 When Repossession May Be Considered

Repossession may be considered only where the account has been classified as a non-performing asset, the borrower has been given the notices under paragraph 17.6, the borrower has been offered and has declined or failed to respond to consideration for restructuring under paragraph 17.7, and the Head of Vehicle Finance Credit has approved the proposal in writing with reasons recorded. Repossession shall not be initiated on the basis of days past due alone, and shall not be used as a means of inducing payment.

18.3 Notice Before Repossession

A written notice shall be given to the borrower not less than fifteen days before repossession is attempted. The notice shall state the amount outstanding, the amount required to regularise the account, the date after which repossession may be attempted, the borrower's right to pay and retain the vehicle, the borrower's right to make a representation and the address to which it may be sent, and the name and contact details of the officer responsible. A representation received shall be considered and answered in writing before repossession is attempted.

18.4 Manner of Repossession

Repossession shall be effected peaceably and only in the following manner:

- By an officer of the Bank, or by a repossession agent on the Bank's panel who carries a written authorisation identifying the vehicle by registration and chassis number, together with photograph identification.
- Between 8 a.m. and 7 p.m. only.
- With the borrower or an adult member of the borrower's household present and informed of what is occurring, or, where the vehicle is unattended, with the fact and circumstances recorded and the borrower informed within two hours.

18.5 Prohibited Conduct

The following are prohibited in every circumstance:

- Any use or threat of force against any person, and any intimidation, abuse or humiliation.
- Taking a vehicle that is occupied, or requiring or inducing an occupant to leave it.
- Stopping or intercepting a vehicle in motion, or following a vehicle in a manner likely to endanger any person.
- Taking a vehicle from within a locked or enclosed private premises, or breaking any lock, gate, barrier or immobiliser to gain access.
- Taking a vehicle where a person present objects, in which case the attempt shall be abandoned and the matter referred for legal remedy.
- Taking a vehicle at a hospital, a place of worship, a school, or a place where doing so would cause public embarrassment to the borrower.

- Removing or retaining any personal property found in the vehicle, other than by inventory under paragraph 18.6.
- Disabling the vehicle by any means, whether before, during or in place of repossession.
- Any communication designed to be seen by third parties, including a notice affixed at the borrower's residence.

18.6 Inventory and Personal Property

On taking possession an inventory shall be prepared at the place of repossession, recording the condition of the vehicle, the odometer reading, the fuel level, the accessories present and every item of personal property in the vehicle. It shall be signed by the person taking possession and by the borrower or a witness. A copy shall be given to the borrower or sent within two business days with photographs.

Personal property found in the vehicle shall be stored safely and returned to the borrower on demand, free of charge, and shall not be withheld against payment of any amount.

18.7 Immediately After Repossession

Within twenty-four hours of taking possession the Bank shall inform the borrower in writing of the fact of repossession, the place at which the vehicle is held, the amount required to redeem it, the period within which it may be redeemed, and the consequences of failing to redeem. The Bank shall also inform the local police station as required by the applicable practice, and shall place a record on the loan file.

18.8 Right to Redeem

The borrower may redeem the vehicle at any time before it is sold, by paying the arrears together with the repossession and storage costs actually incurred and itemised. The Bank shall not require payment of the entire outstanding balance as a condition of redemption unless the loan has been validly recalled in full, and shall state in the notice under paragraph 18.7 which of the two applies and why. On redemption the vehicle shall be returned within three business days in the condition recorded in the inventory.

18.9 Custody of a Repossessed Vehicle

A repossessed vehicle shall be held in a secured yard, shall be insured by the Bank against loss and damage from the moment possession is taken, and shall not be used by any person for any purpose. Storage costs shall be reasonable, shall be at the rate published in the Schedule of Charges, and shall be itemised.

19. Sale of a Repossessed Vehicle and Settlement

19.1 Period Before Sale

A repossessed vehicle shall not be sold before the expiry of thirty days from the date of the notice under paragraph 18.7, during which the borrower may redeem it under paragraph 18.8 or may itself procure a purchaser under paragraph 19.3.

19.2 Valuation Before Sale

A fresh valuation shall be obtained from a panel valuer before sale, and the reserve price shall not be less than that valuation. Where the highest offer received is below the reserve price, the sale shall not be concluded without the approval of the Head of Vehicle Finance Credit, recorded with reasons and with the valuation on file.

19.3 Notice of Sale and the Borrower's Right to Find a Purchaser

Not less than fifteen days before the sale the Bank shall give the borrower written notice of the date, time, place and mode of the proposed sale and of the reserve price. The borrower may within that period procure a purchaser willing to pay a price at or above the reserve price, and the Bank shall accept such a sale unless it has a recorded reason not to.

19.4 Conduct of the Sale

The sale shall be conducted transparently, by public auction or through a recognised platform, and shall be recorded. The Bank shall not sell to an employee of the Bank, to an agent engaged in the repossession, to a panel valuer, or to a relative of any of them. The costs of repossession, storage and sale shall be itemised, shall be reasonable and shall be supported by vouchers.

19.5 Appropriation and Statement

The net sale proceeds shall be appropriated against the outstanding balance and the itemised costs. Within fifteen business days of realisation the Bank shall furnish the borrower with a statement showing the sale price, each item of cost deducted, the outstanding balance at the date of sale, the amount appropriated, and the resulting surplus or shortfall.

19.6 Surplus

Any surplus shall be paid to the borrower within fifteen business days of realisation, together with the statement under paragraph 19.5. A surplus shall not be retained against any other liability of the borrower without the borrower's written consent or an order of a competent authority.

19.7 Shortfall

Where a shortfall remains, it continues to be payable by the borrower. The Bank shall not levy any penal charge on the shortfall for sixty days from the date of the statement, shall offer a repayment arrangement over a period of not less than twelve months, and shall commence recovery action only thereafter. The conduct standards in the Personal Loan Policy relating to collection apply to the recovery of a shortfall.

19.8 Release of the Charge After Sale

On completion of the sale the Bank shall issue the documents required to transfer registration to the purchaser and to cancel the hypothecation endorsement, within seven business days of realisation.

20. Closure, Release of Hypothecation and Documents

20.1 Closure

A loan is closed when the entire amount due has been received. On closure the Bank shall stop the repayment mandate, cease all interest accrual, and refund any amount received in excess within seven business days.

20.2 No-Objection Certificate

A no-objection certificate confirming closure and consenting to the cancellation of the hypothecation shall be issued within seven business days of closure, free of charge and without the borrower having to request it.

20.3 Release of the Charge

The Bank shall issue the prescribed form for cancellation of the hypothecation endorsement, and shall record satisfaction of the security interest with the central registry, within thirty days of closure. Where the borrower asks the Bank to file the cancellation with the registering authority on the borrower's behalf, the Bank shall do so at the borrower's cost limited to the statutory fee.

20.4 Return of Documents

All original documents furnished by the borrower and retained by the Bank shall be returned within thirty days of closure, at the branch of the borrower's choosing, free of charge and without any condition. Where the documents are not returned, or the no-objection certificate and cancellation form are not issued, within thirty days, the Bank shall pay the borrower compensation of Rs. 5,000 for each day of delay, credited or paid without the borrower having to claim it. This paragraph admits of no exception.

20.5 Loss of Documents

Where an original document is lost, damaged or cannot be traced, the Bank shall inform the borrower within the thirty-day period, shall assist in obtaining certified or duplicate copies at the Bank's own cost including all statutory and legal costs, and shall issue a letter recording the loss and the Bank's responsibility for it in a form the borrower can produce to any third party. The compensation in paragraph 20.4 continues to accrue, and a further period of thirty days is allowed for the duplication process, during which it continues.

20.6 Cancellation of Mandates

The repayment mandate shall be cancelled within three business days of closure and the cancellation confirmed. Where an instalment is collected after closure through a mandate not cancelled in time, the amount shall be refunded within three business days together with compensation at Rs. 100 per day of delay.

21. Credit Information, Confidentiality and Fair Practices

21.1 Credit Information Reporting

The Bank shall report to credit information companies each month the existence of the loan, the sanctioned amount, the outstanding balance, the amount overdue if any, the number of days past due, and the status including any restructuring, repossession, settlement or write-off. Before an amount is reported as overdue for the first time, the Bank shall notify the borrower of what it intends to report and when.

Where a borrower states that something reported is incorrect, the Bank shall investigate and communicate the outcome within thirty days, shall correct the report with every credit information company to which it was sent within seven days of reaching that conclusion, and shall pay compensation of Rs. 100 per day from the expiry of the thirty days until the correction is made. On closure, the credit information companies shall be updated within thirty days to show the account as closed with a nil outstanding.

21.2 Confidentiality

Information relating to a borrower, to the loan and to the vehicle is confidential, and the duty survives closure. Disclosure is permitted only where compelled by law or an order of a competent authority, where there is a duty to the public to disclose, where the interests of the Bank require it and then only to the minimum extent necessary, or where the borrower has given express and informed consent. Reporting under paragraph 21.1, registration of the charge and registration with the central registry are required by law and do not require separate consent on each occasion.

The Bank shall not disclose to a dealer, a manufacturer or any other party the balance outstanding, the repayment record, the fact of default, the fact of repossession, or any grievance raised by the borrower.

21.3 Collection, Use and Retention of Data

The Bank shall collect only such data as is necessary for the appraisal and servicing of the loan, shall state the purposes at collection, and shall not use it for any incompatible purpose. Tracking data is governed by Section 16. Loan records shall be retained for eight years from closure, or until the conclusion of any proceeding relating to the loan, whichever is later. Records of a declined application shall be retained for three years and then destroyed. Repossession records, including the inventory, the photographs and the sale documentation, shall be retained for eight years from the date of sale.

21.4 Access and Correction

A borrower is entitled to a copy of the information held about them and to require correction of any inaccuracy. A correction request shall be given effect within ten business days or refused in writing with reasons.

21.5 Fair Practices

The Bank adopts the following as binding standards:

- Every communication shall be in a language the borrower understands.
- The Bank shall not interfere in the affairs of a borrower except as provided in the loan agreement.
- Where the Bank has agreed to a request it shall act within the stated turnaround time and shall not require the borrower to repeat the request.
- The Bank shall not transfer a loan to a third party without the borrower's knowledge, and shall inform the borrower of the transferee and of the borrower's rights on any transfer.

- The Bank shall not demand additional security or a guarantee by reason of depreciation of the vehicle where the account is regular.
- The Bank shall not require the borrower to purchase insurance, an extended warranty, an accessory package or a service plan as a condition of the loan.

21.6 Security and Outsourcing

Access to borrower data shall be on the principle of least privilege and shall be logged, with logs reviewed monthly. A service provider handling borrower data shall be bound by confidentiality obligations no less stringent than the Bank's own, shall be subject to audit, and shall not sub-contract without written consent. A suspected breach shall be reported to the Chief Information Security Officer within two hours of detection and affected borrowers notified without undue delay where harm is likely.

22. Grievance Redressal, Roles and Policy Review

22.1 Grievance Channels and Escalation

A grievance may be lodged at any branch, through the contact centre, through the complaint form on the Bank's website or digital channel, by letter, or by electronic mail to the published grievance address. Every grievance shall be acknowledged, tracked through a unique reference number, and closed only with a substantive response. A grievance concerning a dealer, a panel valuer, a lending service provider, a collection agent or a repossession agent shall be received and resolved by the Bank, and the borrower shall not be directed to that party.

Level	Authority	Resolution time
1	Branch Manager or Vehicle Finance Service Manager	7 business days
2	Regional Nodal Officer	14 business days
3	Principal Nodal Officer	21 business days
4	Internal Ombudsman	30 days
5	External Banking Ombudsman	As prescribed by the scheme

A grievance the Bank proposes to reject wholly or partly shall be referred to the Internal Ombudsman before the decision is communicated. The right to approach the external Banking Ombudsman shall be stated in every final response. A complaint alleging a breach of Section 16 or Section 18 shall be investigated by Compliance independently of the collections function and concluded within twenty-one days, and the outcome reported to the Head of Retail Lending and, where upheld, to the Risk Management Committee.

22.2 Responsibility Matrix

Role	Responsibility
Board of Directors	Approval of the Policy; oversight of its operation
Risk Management Committee	Recommendation of the Policy; delinquency, dealer, repossession and exception reporting
Audit Committee	Evergreening instances; credit audit and repossession file findings
Asset and Liability Committee	Rate methodology
Product and Pricing Committee	Rates within the methodology; charges; dealer arrangements
Head of Retail Lending	Policy ownership; agent conduct; settlements
Head of Vehicle Finance Credit	Approval of repossession proposals; sale below reserve price; sanctions above delegation
Chief Risk Officer	Credit standards in Section 8; LTV standards in Section 9; classification integrity
Regional Credit Head	Sanctions within delegation; penal charge waivers; third vehicle loan approvals
Head of Compliance	Regulatory alignment; independent investigation of Section 16 and 18 complaints
Internal Audit	Independent assurance, including charge registration and repossession file review

22.3 Approval Authority for Exceptions

Exception type	Approving authority
Sanction to an applicant within paragraph 6.2	Head of Retail Lending
Third vehicle loan to the same individual	Regional Credit Head
Sanction where DBR is within 5 points of the ceiling	One level above ordinary authority
Used vehicle loan above Rs. 15,00,000	One level above ordinary authority
Approval of a repossession proposal	Head of Vehicle Finance Credit
Sale of a repossessed vehicle below the reserve price	Head of Vehicle Finance Credit
Penal charge waiver on hardship grounds	Regional Credit Head
Departure from Section 16, 17, 18, 19, paragraph 9.2, 11.6 or 20.4	Not permitted

22.4 Monitoring

Compliance shall conduct thematic testing at least twice each financial year, covering appraisal and income verification quality, DBR and LTV compliance, used vehicle valuation and panel allocation integrity, dealer conduct under Section 10, Key Facts Statement issuance and accuracy of the annual percentage rate, disbursement routing, hypothecation endorsement within sixty days, insurance subsistence, consent records for tracking devices, classification integrity, penal charge computation, repossession conduct and documentation, sale and settlement under Section 19, and the release of the charge and return of documents within thirty days. Internal Audit shall review every repossession file.

22.5 Key Indicators

- Applications received, sanctioned, declined and withdrawn, by channel and by dealer.
- Distribution of sanctions by LTV band and DBR band; sanctions where expected outstanding exceeds expected residual value.
- Proportion of borrowers issued a Key Facts Statement before acceptance, and instances of a charge levied that was not in it.
- Hypothecation endorsements completed within sixty days; cases referred to Operations Risk under paragraph 12.4.
- Registration transfers completed within sixty days for used vehicles.
- Accounts with lapsed insurance, and insurance effected by the Bank under paragraph 14.3.
- Tracking devices fitted, consents on file, and consent withdrawals actioned within seven business days.
- Delinquency by vintage, channel and dealer; SMA-1 and SMA-2 balances; slippage to non-performing.
- Repossessions initiated, notices issued fifteen days in advance, redemptions, sales concluded, and average realisation against reserve price.
- Surplus paid within fifteen business days; shortfall cases and arrangements offered.
- Complaints alleging breach of Section 16 or 18, and the proportion upheld.
- Documents returned and charges released within thirty days; compensation paid under paragraph 20.4.

22.6 Training

Every member of staff in a role involving origination, appraisal, servicing, collection or repossession shall complete certification on this Policy within thirty days of joining and annually thereafter. Certification on Sections 18 and 19 is a condition of authorisation to take possession of a vehicle or to conduct a sale, and applies equally to the staff of every agent engaged by the Bank. No person shall be deployed on a repossession who has not been certified within the preceding twelve months.

22.7 Policy Review and Amendment

This Policy shall be reviewed at least once every financial year by the Vehicle Finance vertical in consultation with Credit Risk, Compliance, Legal, Operations and the Chief Risk Officer, and placed before the Board through the Risk Management Committee. An interim amendment may be initiated on a change in regulatory direction, a change in the applicable motor vehicles law, the introduction or withdrawal of a variant, a finding from audit, credit audit or thematic testing, or a material adverse trend in delinquency, repossession or grievance data. Where a regulatory direction takes effect before the Policy can be amended, the direction applies from its effective date and Compliance shall issue an interim instruction. An approved amendment shall be communicated to staff within seven days, incorporated into training within thirty days, reflected in the Key Facts Statement format and the loan agreement within thirty days, and notified to borrowers where it affects them. The version history is maintained in Annexure D and superseded versions retained for ten years.

Annexure A: Documentation

A.1 Borrower Documentation

- Completed and signed application form for every applicant and co-applicant.
- Officially valid document establishing identity and address, as listed in the Savings Account Policy.
- Recent photograph and permanent account number for every applicant and co-applicant.
- Valid driving licence of the class appropriate to the vehicle, for the applicant or a co-applicant.
- Bank statements for the preceding six months for every account not maintained with the Bank.
- Consent to obtain credit information reports, for every applicant, co-applicant and guarantor.
- Acknowledged Key Facts Statement before acceptance of sanction.

Category	Income documents
Salaried, Category A employer	Salary slips for 3 months; employment identity card
Salaried, other employer	Salary slips for 6 months; appointment letter or employment certificate; Form 16
Self-employed professional	Certificate of practice or registration; income tax returns with computation for 2 years
Self-employed, business income	Income tax returns with computation for 3 years; audited financial statements for 2 years; business or tax registration
Pensioner	Pension payment order; pension account statement for 6 months

A.2 Vehicle Documentation

Transaction type	Vehicle documents
New vehicle	Dealer proforma invoice bearing the chassis number; manufacturer's price list; quotation for accessories where financed; insurance quotation or cover note
New vehicle, after disbursement	Tax invoice; delivery note; certificate of registration particulars; comprehensive insurance policy recording the Bank as hypothecatee
Used vehicle	Certificate of registration; panel valuation report; insurance policy; pollution certificate; chain of ownership where more than one transfer; foreclosure statement and release from the existing lender where a charge subsists
Used vehicle, after disbursement	Transfer of registration into the borrower's name; hypothecation endorsement; fresh comprehensive insurance policy
Electric vehicle	Battery ownership, subscription or lease documentation where the battery is not sold with the vehicle
Balance transfer	Statement of outstanding and list of documents held by the transferor lender; repayment track record for 12 months; certificate of registration with the existing endorsement

Annexure B: Illustrative Key Facts Statement

B.1 Loan Particulars

Item	Detail
Loan variant	FinTrust New Car Loan
Ex-showroom price	Rs. 10,20,000
On-road price	Rs. 12,00,000
Sanctioned amount	Rs. 9,50,000
Loan to value ratio on on-road price	79%
Borrower's margin	Rs. 2,50,000
Rate of interest, fixed	9.25% per annum, monthly reducing balance
Tenure	60 months
Equated monthly instalment	Rs. 19,836
Processing fee, 0.50%	Rs. 4,750
Documentation charge	Rs. 500
Goods and services tax on fees, 18%	Rs. 945
Amount disbursed to the dealer, net of deductions	Rs. 9,43,805

B.2 Cost of the Loan

Item	Amount
Sanctioned amount on which interest is charged	Rs. 9,50,000
Less: fees, charges and tax deducted at disbursement	Rs. 6,195
Amount actually applied to the purchase	Rs. 9,43,805
Total of 60 instalments of Rs. 19,836	Rs. 11,90,160
Of which, principal	Rs. 9,50,000
Of which, interest	Rs. 2,40,160
Total amount repayable	Rs. 11,90,160
Annual percentage rate	9.53%

B.3 Security Cover Over the Tenure

The following compares the expected outstanding balance with the expected residual value of the vehicle, on the depreciation profile recorded for the model, for this loan and for an alternative at a higher loan to value over a longer tenure. Both are within the ceilings in paragraph 9.2.

At month	Expected residual value	Case A outstanding, 79% over 60 months	Case B outstanding, 90% over 84 months
12	Rs. 10,20,000	Rs. 7,93,311	Rs. 9,64,935
24	Rs. 9,18,000	Rs. 6,21,497	Rs. 8,38,763
36	Rs. 8,26,200	Rs. 4,33,099	Rs. 7,00,413
48	Rs. 7,43,580	Rs. 2,26,516	Rs. 5,48,708
Security cover at month 12		129%	106%
Security cover at month 48		328%	136%

Case B carries a lower instalment of Rs. 17,514 but leaves the borrower with materially less equity in the vehicle throughout, and would leave a shortfall on an early total loss or repossession. The comparison shall be shown to the borrower where the tenure sought exceeds sixty months.

B.4 Contingent Charges

Event	Charge
Instalment overdue	2% per annum on the overdue amount, maximum Rs. 750 per instalment per month
Instalment dishonour	Rs. 500 per instance
Foreclosure of this fixed rate loan within 12 months	4% of the amount prepaid
Foreclosure of this fixed rate loan after 24 months	2% of the amount prepaid
Repossession, storage and sale costs	At actuals, itemised and vouched

B.5 Points to Note

- This loan is on a fixed rate, so a foreclosure charge applies. Had it been on a floating rate, no foreclosure charge would be payable at any time.
- Registration charges, road tax and the first year's insurance premium are within the financed on-road price and are therefore included in the amount on which interest is charged.
- Comprehensive insurance must be maintained for the whole tenure. The borrower may choose any insurer.
- Repossession costs are contingent and are excluded from the annual percentage rate, but they are recoverable and are disclosed here for that reason.

Annexure C: Turnaround Time and Compensation Matrix

Event	Timeline	Compensation for delay
Acknowledgement of application	At submission	Nil
Valuation of a used vehicle from panel valuer	3 business days from allocation	Nil
Decision on a complete application, new vehicle	3 business days	Nil
Decision on a complete application, used vehicle	7 business days	Nil
Communication of a decline with reason	7 days	Nil
Refund of processing fee on decline, net of actuals	7 business days	Nil
Validity of the Key Facts Statement	Not less than 3 working days	Not applicable
Copy of loan agreement and enclosures	At execution	Nil
Disbursement after conditions precedent satisfied	2 business days	Nil
Filing for hypothecation endorsement	7 business days from disbursement	Nil
Endorsement recorded, else referral to Operations Risk	60 days	Not applicable
Recovery from dealer where vehicle not delivered	30 days from disbursement	Interest reversed to borrower
Transfer of registration, used vehicle	Applied within 7 days, completed within 60 days	Nil
Consent or document required for an insurance claim	3 business days	Nil
Surplus on a total loss settlement	7 business days	Nil
Communication on rate reset, floating rate loans	5 business days from effect	Nil
Foreclosure statement	2 business days	Nil
Release documents on sale by the borrower	3 business days from receipt of payment	Nil
Deactivation of a tracking device on withdrawal of consent	7 business days	Nil
Deletion of tracking data on closure	30 days	Nil
Notice of an amount becoming overdue	3 business days	Not applicable
Notice before non-performing classification	At 85 days past due	Not applicable
Acknowledgement of a restructuring request	2 business days	Nil

Event	Timeline	Compensation for delay
Decision on a restructuring request	15 business days	Nil
Notice before repossession	15 days	Not applicable
Intimation to the borrower after repossession	24 hours	Not applicable
Inventory copy to the borrower	2 business days	Not applicable
Return of vehicle on redemption	3 business days	Nil
Minimum period before sale of a repossessed vehicle	30 days from intimation	Not applicable
Notice of sale with reserve price	15 days before sale	Not applicable
Statement of appropriation after sale	15 business days from realisation	Nil
Payment of surplus after sale	15 business days from realisation	Nil
Release documents to the purchaser after sale	7 business days from realisation	Nil
Investigation of a Section 16 or 18 complaint	21 days	Nil
Refund of excess on closure	7 business days	Nil
No-objection certificate on closure	7 business days	Nil
Release of charge and return of documents	30 days	Rs. 5,000 per day
Additional period where a document is lost	Further 30 days	Rs. 5,000 per day continues
Cancellation of repayment mandate	3 business days	Rs. 100 per day on a wrongly collected instalment
Credit information update on closure	30 days	Nil
Investigation of a credit information error	30 days	Rs. 100 per day thereafter
Grievance, Level 1	7 business days	Nil
Grievance, Level 2	14 business days	Nil
Grievance, Level 3	21 business days	Nil

Annexure D: Abbreviations and Version History

D.1 Abbreviations

Abbreviation	Expansion
ALCO	Asset and Liability Committee
APR	Annual Percentage Rate
CIC	Credit Information Company
DBR	Debt Burden Ratio
DPD	Days Past Due
EMI	Equated Monthly Instalment
EV	Electric Vehicle
IDV	Insured Declared Value
KFS	Key Facts Statement
LSP	Lending Service Provider
LTV	Loan to Value Ratio
NOC	No-Objection Certificate
NPA	Non-Performing Asset
OVD	Officially Valid Document
RC	Certificate of Registration
SMA	Special Mention Account
TAT	Turnaround Time

D.2 Version History

Version	Date	Approved by	Summary of change
5.0	23 February 2021	Board of Directors	Consolidated reissue
5.1	14 October 2021	Product and Pricing Committee	Revision of rate ranges; introduction of Electric Vehicle variant
6.0	07 July 2022	Board of Directors	Rewrite of Sections 18 and 19 following a review of repossession conduct; introduction of the fifteen-day notice and the right to procure a purchaser
6.1	19 April 2023	Product and Pricing Committee	Revision of LTV ceilings for used vehicles; vehicle age and tenure matrix introduced

Version	Date	Approved by	Summary of change
6.2	30 January 2024	Board of Directors	Introduction of Section 16; remote immobilisation prohibited; tracking consent made separate and revocable
6.3	05 November 2024	Board of Directors	Introduction of the Key Facts Statement and annual percentage rate disclosure; penal interest replaced by penal charges; addition of Annexure B
6.4	14 April 2026	Board of Directors	Current version. Residual value and security cover assessment made mandatory at sanction; central panel allocation for used vehicle valuation; addition of Annexure C